

FEDERAL MARITIME COMMISSION

DOCKET NO. 24-15

NETCYCLE TRADING CORP., *REVOCATION OF OCEAN TRANSPORTATION INTERMEDIARY LICENSE NO. 021597NF*

BUREAU OF ENFORCEMENT, INVESTIGATIONS, AND COMPLIANCE OPPOSITION TO RESPONDENT’S MOTION FOR ACCEPTANCE OF LATE FILING

Pursuant to Rule 71 of Subpart E and 102(c) of Subpart G of the Federal Maritime Commission (Commission or FMC) Rules of Practice and Procedure, 46 C.F.R. §§ 502.71; 502.102(c), the Office of Enforcement (OE) within the Bureau of Enforcement, Investigations, and Compliance (BEIC) opposes Netcycle Trading Corp.’s (Netcycle or Respondent) Motion for the acceptance of Late Filing. OE opposes the Respondent’s Motion for failure to provide evidence showing the exceptional circumstances or requirements of justice necessary to consider such a motion.

Timeline of Events

On March 8, 2024, the Bureau of Certification and Licensing (BCL) issued a Notice of Intent to Revoke the ocean transportation intermediary (OTI) license of Netcycle. On March 19, 2024, pursuant to the Commission’s regulations at 46 C.F.R. §§ 515.17 and 502.702, Netcycle submitted, through its former president, Ms. Nadia Ledesma, a timely request for a hearing to the Office of the Secretary. On March 21, 2024, the Commission issued a Notice of Hearing Request and Assignment transmitting this matter to the Office of Administrative Law Judges (OALJ). On March 22, 2024, the presiding Administrative Law Judge (ALJ) issued a Notice and Initial Order (Initial Order)

advising OE of Netcycle's request for a hearing and OE's resulting obligation to provide to the ALJ and Netcycle a copy of BCL's Notice of Intent to Revoke and a copy of BCL's materials supporting the Notice. OE filed these documents and served them on Netcycle in accordance with the established deadline on April 16, 2024.

All filing deadlines for this proceeding were contained in that March 22 Initial Order issued by the ALJ, including the requirement that Netcycle offer its response by May 16, 2024. Respondent was further reminded of the May 16 filing deadline in the Notice of Right to Respond and to Reply of April 16, 2024.

On May 21, 2024, already five days after the expiration of Netcycle's deadline, the Office of Administrative Law Judges emailed the Respondent to determine if the Respondent intended to file any response in this matter. Later that afternoon, Counsel for the Respondent¹ responded to the email and indicated that they were "just retained."² Respondent's Motion for Acceptance of Late Filing was filed an additional ten days later on May 31, 2024, fifteen days after the expiration of its filing deadline.

Argument

Commission Rule 102(b) states that a motion will "only be considered when exceptional circumstances are shown or as justice may require."³ Respondent was given notice of a pending license revocation on March 8th. At that point, Respondent knew that, at the very least, its legal rights to continue operating its business were at stake and should have begun the process of seeking representation if it intended to do so. Even if the ALJ believes that this initial notice was insufficient to put Respondent on notice that legal representation might be advisable or desirable, no later than March 22nd Respondent knew that a formal proceeding involving its license had begun with a

¹ Counsel for the Respondent filed a Notice of Appearance under 46 C.F.R. 502.23(a) on May 31, 2024.

² This Email is included as Attachment A.

³ 46 C.F.R. §502.102(b).

hearing that was initiated *at its own request*. That Initial Order of March 22nd contained the filing deadlines and instructions on filing.

Counsel for the Respondent avers that, since that initial order more than two months ago, Ms. Ledesma had been determining how best to respond on behalf of Netcycle and whether to retain counsel. Apparently while mulling these determinations, Ms. Ledesma “inadvertently lost track of the deadline” until she received “an email from the FMC on May 21,” due to her “overwhelming work obligations and ongoing medical issues.”⁴ Counsel offers no supporting details as to those obligations or medical issues. Ms. Ledesma has been copied on all correspondence in this proceeding since it began at Netcycle’s initiation on March 22, 2024. This includes the initial order and the ALJ’s Notice of Right to Respond and to Reply which both made explicit Netcycle’s May 16, 2024, filing deadline.

Setting aside Ms. Ledesma’s forgotten deadline, it is also unclear why Ms. Ledesma’s medical issues or work obligations would prevent Netcycle from responding or retaining counsel. As she made clear to the Commission in her letter dated March 13, 2024, she has “handed over the position of president [of Netcycle] to [her] stepson Carlos Ledesma Jr.,” and herself remained only in a “position of support and guide in the transition of administration.”⁵ If this statement was factual, it appears that the decisions as to how to respond or whether to retain counsel should not have been Ms. Ledesma’s decisions at all, but rather belonged to the President of Netcycle, Mr. Carlos Ledesma Jr. who was copied on Ms. Ledesma’s request for a hearing (FMC Request for Revise on Intent of Revoke Netcycle Trading License) on March 14, 2024 and service of the ALJ’s Notice of Right to Respond and to Reply on April 16, 2024. Netcycle offers no evidence as to the exceptional circumstances why Mr. Ledesma was unable to make the decisions.

⁴ Netcycle Trading Corp., Motion for Acceptance of Late Filing, May 31, 2024, [hereinafter Late Filing].

⁵ Nadia Ledesma Letter dated March 13, 2024, included as Attachment B.

Even assuming that Ms. Ledesma was so vital to the decision making of Netcycle that counsel could not be retained or filings could not be made without her approval, Netcycle has put forth no evidence that the retention of counsel was even explored between the initiation of proceedings in March and the May 21, 2024 email from the Office of Administrative Law Judges, despite being repeatedly reminded of the deadline to file its response. Given that counsel had apparently only been just retained on the afternoon of May 21, it is unclear that Netcycle would have ever retained counsel or responded at all if the May 21 reminder from OALJ had not occurred.

Netcycle asserts that even in the absence of exceptional circumstances its Motion should be accepted in the interest of justice because the “revocation will have profound ramifications for Netcycle.”⁶ The Commission’s rules recognize the ramifications of a license revocation and provide license holders an opportunity for a hearing – hearings which have clearly delineated deadlines and other rules that allow for timely requests for extension of time. Netcycle has not followed those rules, despite being aware of the ramifications of revocation and choosing to avail itself of this forum. What’s more, Netcycle’s factual justification for those failures includes a preoccupation with work.

If the ramifications are as profound as Netcycle suggests – so profound that allowing the Commission’s deadlines to stand would be an injustice – it seems implausible that such an important deadline to the continued operation of the organization could be forgotten, at least in part, due to requirements of the day-to-day operation of the business. If that assertion is true, the Commission should be deeply concerned about Netcycle’s ability to comply with its other Commission obligations.

Finally, Netcycle argues that even if exceptional circumstances or the interest of justice cannot be met under Commission Rule 102, the rule should be waived in accordance with Rule 105

⁶ Late Filing at 3.

for good cause, due to Ms. Ledesma's medical conditions.⁷ It is unclear why these unexplained and unsubstantiated medical conditions would qualify for good cause, but not exceptional circumstances. Given the structure of rules, exceptional circumstances should be a higher bar than simple good cause.⁸ Regardless, as noted above, given Ms. Ledesma's resignation as President and alleged retreat from decision making for Netcycle, such medical conditions should not be considered either good cause or exceptional circumstances.

This timeline and these facts do not show exceptional circumstances that justify this late filing. The mere assertion of overwhelming work obligations or medical issues by the *former* President of the company who was purportedly only operating in role of support and guidance even prior to the initiation of this proceeding cannot be sufficient to justify the requirements of Rule 102. Similarly, allowing a respondent to file more than two weeks after a deadline with little to no justification does not serve the interest of justice and ultimately undermines the credibility of Commission timelines and requirements in future proceedings.

For these reasons, OE opposes the Respondent's Motion for Acceptance of Late Filing and requests that Motion be denied in accordance with the Commission's rules. If Respondent's Motion is ultimately granted, OE would request that the filing deadline for its reply be twenty days from the date of that decision in keeping with the requirements of 46 C.F.R. § 502.704.

Respectfully submitted,

Julie L. Berestov, Director
Jonathan Todd, Trial Attorney
Grace Lee, Trial Attorney
Office of Enforcement
Bureau of Enforcement,

⁷ *Id.*

⁸ Motions for enlargements of time may be granted for good cause shown when submitted at least seven days before the deadline. 46 C.F.R. § 502.102(a). Motions received after the deadline are subject to the higher standard of exceptional circumstances or in the interests of justice. 46 C.F.R. § 502.102(c).

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CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing document was served upon Respondent via electronic mail this 5th day of June 2024.

Jonathan Todd